3.4.5 Matching supply to demand

Unit 3.4 Operational management · 7 key points

- **Ways named by AQA:** outsourcing, temporary and part-time staff, producing to order
- **Outsourcing:** using another business to carry out some work
- **Temporary and part-time staff:** increase or decrease labour to match demand
- **Producing to order:** only make what customers have ordered
- **Benefits:** avoid wasted capacity and unsold stock
- **Drawbacks:** less control, quality risk, may cost more per unit
- **Seasonal demand:** matching supply is especially important